

VELUSE AGENCY STANDARD OPERATING PROCEDURE (SOP) DEPARTMENT:

Operations & Finance **SUBJECT:** The Mathematics of Business & Client Financed

PURPOSE: To establish Veluse Agency's financial benchmarks for scaling Med Spa clients and our own infrastructure. Growth without profitable unit economics is just lighting money on fire. We must transition our consultants and clients away from vanity metrics and enforce strict adherence to Lifetime Gross Profit (LTGP), Cost to Acquire a Customer (CAC), and aggressive cash conversion cycles.

PART 1: THE "RULES OF THUMB" FOR LTV TO CAC RATIOS

The foundational economic unit of any business is how much money it costs to make more money 1, 2. We track this using the LTV to CAC ratio, but it is critical to define LTV correctly 2. In this agency, Lifetime Value (LTV) does not mean total lifetime revenue; it means Lifetime Gross Profit (LTGP)—the total money you make from a customer minus everything it costs to deliver the product or service 2-4.

The industry benchmark of a 3:1 ratio (making \$3 for every \$1 spent on acquisition) was popularized by Silicon Valley software companies, but it is fundamentally flawed for most service businesses 5-7. The required LTV to CAC ratio is dictated by how many of your three core business functions—Attraction (marketing), Conversion (sales), and Delivery (fulfillment)—rely on human labor 8.

Humans introduce lumpiness, inefficiency, and training costs 9, 10. Every time you add manual labor to a process, you must dramatically increase your target LTV to CAC ratio to absorb the cost of scaling that headcount 10, 11.

The Automated vs. Human-Led Thresholds:

- **0 Humans (Fully Automated): The 3:1 Ratio.** If your business has 100% scale across all three functions—for example, you run automated paid ads (Attraction) to an automated checkout page (Conversion) for software or digital media (Delivery)—a 3:1 LTV to CAC ratio is perfectly healthy 7, 8, 12.
- **1 Human in the Loop: The 6:1 Ratio.** If you run automated ads and automated checkout pages, but you have a human being handling the delivery or fulfillment, your minimum ratio must double to 6:1 9.
- **2 Humans in the Loop: The 9:1 Ratio.** If you use automated paid ads, but require a human salesperson to close the deal, and another human to deliver the service, you must target a 9:1 ratio 10. This padding is required to absorb the inevitable drop in conversion rates when you hire a new, inexperienced sales rep or account manager 10, 11, 13.
- **3 Humans in the Loop (Highly Manual): The 12:1 to 20:1+ Ratio.** If a business relies on manual outbound prospecting (Attraction), 1-on-1 sales calls (Conversion), and high-touch 1-on-1 service (Delivery), the minimum ratio is 12:1, though you should ideally target 20:1 or higher 13-15.

Application for Veluse Agency: Med Spas inherently feature human delivery (injectors, aestheticians) and human conversion (consultations). Therefore, we must engineer their offers to achieve a minimum 9:1 to 12:1 LTV to CAC ratio, ensuring they have the profit cushion required to survive the inefficiencies of hiring new staff as they scale 10, 13.

PART 2: CLIENT FINANCED ACQUISITION (CFA)

Even if a Med Spa has a massive 10:1 LTGP to CAC ratio, they will fail to scale if it takes them 12 months to collect that profit 16. If you spend \$30 to acquire a customer, but only collect \$10 a month in profit, you are trapped in a cash flow deficit and must wait three months just to break even 17, 18.

Client Financed Acquisition (CFA) is the ultimate cheat code for limitless scale 19. CFA is achieved when the gross profit collected from a new customer in their first 30 days is greater than the total cost to acquire them 20.

The 30-Day Rule: We obsess over the 30-day window because virtually any business can access an interest-free line of credit or credit card for 30 days 16, 21. If you max out a credit card to buy ads, and your new customers generate enough upfront gross profit to cover their own acquisition cost within that same 30-day billing cycle, you pay off the credit card balance in full 16, 21. You have now acquired the customer using other people's money (OPM), you hold zero debt, and every future payment from that customer is pure, compounding profit 21-23. When customers finance their own acquisition, cash is no longer a bottleneck, and you can spend an unlimited amount on marketing 24, 25.

PART 3: ACHIEVING 30-DAY CASH-FLOW BREAK-EVEN

To execute CFA, we must pull cash flow forward 26. The mathematical rule is that your 30-day cash collected must be greater than your Cost of Goods Sold (COGS) plus your Cost to Acquire a Customer (CAC) 27. If we are not hitting this metric, we deploy the following tactical adjustments to the client's money model:

1. **Immediate Upsells (The Profit Booster):** Do not wait to sell the client more; immediately offer a complementary product or service right after their initial purchase 18, 28. If the core purchase brings in \$10 of profit, an immediate upsell that brings in an additional \$20 of profit instantly covers a \$30 CAC within the critical 30-day window 18, 23.
2. **Paid-in-Full Discounts (Annual Upfront):** Trade a pricing discount for immediate cash flow 29. By offering a 10% to 16% discount (e.g., "get two months free") for clients who pay for a full year upfront, you front-load massive amounts of cash 29-31. The value of having that cash today to immediately acquire more customers vastly outweighs the fractional loss of the discount 29, 31.
3. **Pre-Payment / Layaway Models:** Never deliver the core, expensive service before receiving payment 32, 33. We mandate that clients pay a significant upfront deposit (e.g., \$9,000 down) before the heavy fulfillment work begins, followed by standard recurring billing 33. This ensures you risk nothing and collect the necessary cash to offset acquisition costs immediately 33, 34.
4. **Raise The Core Price:** If the current price does not allow for a 30-day break-even, the simplest mathematical fix is to double or triple the price 35. Pricing based on the value of the outcome, rather than the cost of fulfillment, dramatically expands the gross profit captured on day one 36.